that removing Smith was a last resort as it would destroy the bank and the only real hope was to get Norman to induce Smith to go. But Norman thought highly of Smith and would move only if he thought there was good reason to do so.

But Grigg was convinced of Smith's *mala fide* intentions. In his reply to Stewart he said that he could not tell whether Smith 'is mad or merely a marvelous bluffer' and that if he got an assurance of honest cooperation from Smith he would 'try to put behind me the convictions of Smith's crookedness.' His distrust of Smith was however very deep. He said that it was no use 'kidding ourselves that it will work for long.' 'The man is a wrong 'un… if he gets a chance I am going to be knifed again.'[54]

Taylor told Grigg in his letter in May 1936 that Smith was going to Calcutta to pack up and would probably want to retire after doing the various jobs for the Bank in England and taking leave for three months. He did not fancy a Deputy Governor from England and thought that a European ICS officer would fit the bill. Grigg replying with his characteristic candour vetoed Taylor's suggestion saying that he could not agree to the appointment of a European ICS man who knew nothing (or next to nothing) about finance or banking. 'The Bank can't afford to have two-thirds of its executive completely ignorant of its job.'[55] To this he added the observation which showed his concern for keeping Montagu Norman on his right side. 'Apart from that the Reserve Bank simply must retain the good-will and confidence of the Bank of England. This really means, as I have said before, accepting MN's nominee as the new Deputy. I know that his advocacy of Smith has a little damped our faith in his judgment but surely Niemeyer can ensure that we don't get another stumer—particularly seeing that whoever is chosen will probably have to become Governor in due course.'[56] In the same letter Grigg said, 'If contrary to expectation Smith stays on for a bit I think the Reserve Bank ought to have a 'liaison officer' from home as an attempt to introduce a new European deputy unostentatiously.'[57]

Meanwhile, Smith returned to India briefly and there occurred an incident which made Grigg's job easier. Smith was known to have a liaison with a Mrs R.A.B. Allen and one day in her presence, he accused Taylor of trying to run the bank and intriguing with Grigg against him. According to Sir Sikander this was overheard by a Bombay broker and news of this